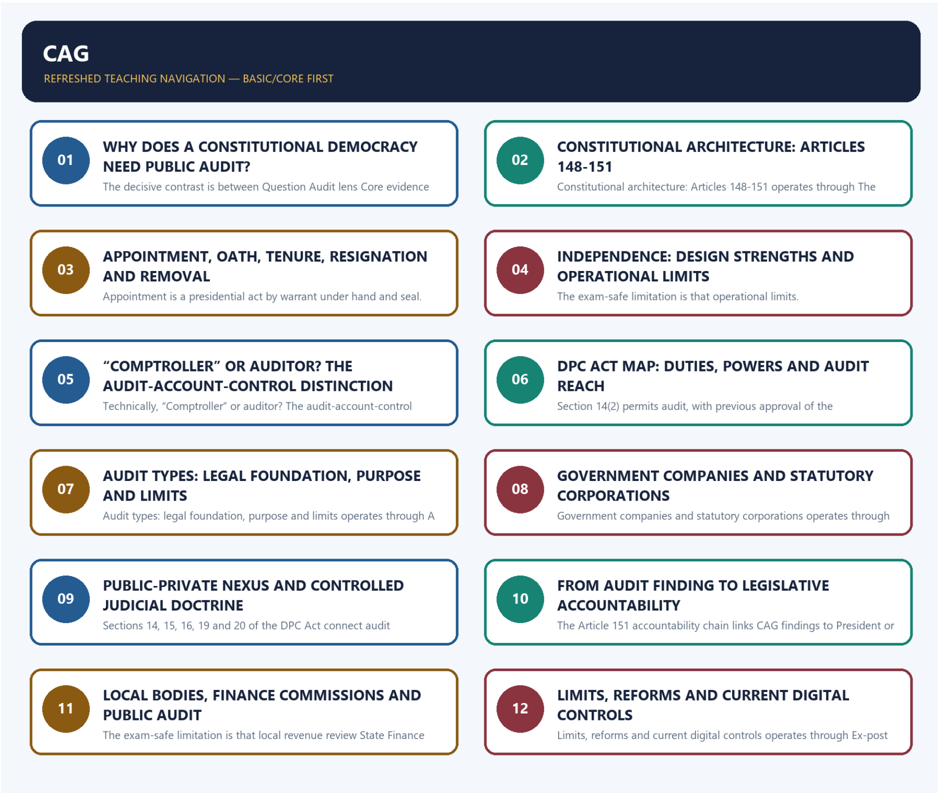
SOLVED PRACTICE WORKBOOK

CAG - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

CAG - Complete Uncompressed Learning Session

BASIC MCQS / REMEDIATION

Original MCQs - 36 questions

OM1. Constitutional appointment

The Comptroller and Auditor General of India is appointed

A. by Parliament through a joint resolution B. by the President after mandatory parliamentary confirmation C. by the President by warrant under hand and seal D. by the Chief Justice of India

Answer: C.

[FACT] Article 148 specifies presidential appointment by warrant under hand and seal; no confirmation hearing is constitutionally required.

OM2. Form of accounts

Under Article 150, the form in which Union and State accounts are kept is prescribed by

A. the Finance Commission B. the President on the advice of the CAG C. Parliament by annual resolution D. the CAG acting alone

Answer: B.

[FACT] Article 150 uses the President-on-CAG-advice formulation.

OM3. Tenure source

Which statement is correct regarding CAG tenure?

A. Article 149 fixes six years without an age limit B. tenure continues during the President's pleasure C. Article 148 itself fixes five years D. Section 4 of the DPC Act fixes six years or age 65, whichever is earlier

Answer: D.

[FACT] The numerical tenure rule is statutory, not written in Article 148.

OM4. Post-tenure position

After ceasing to hold office, the CAG

A. may hold another office if Parliament approves B. is ineligible for further office under the Union or any State government C. may become a Governor but not a Union Minister D. may accept a State post after a cooling-off period

Answer: B.

[FACT] Article 148(4) creates the post-office bar.

OM5. Removal

The CAG may be removed

A. by a simple majority of the Lok Sabha B. by the Chief Justice of India after inquiry C. in the same manner and on the same grounds as a Supreme Court Judge D. by the President on Cabinet advice without legislative action

Answer: C.

[FACT] Article 148 imports the Supreme-Court-Judge removal safeguard.

OM6. Article 149

Article 149 primarily provides that CAG duties and powers are

A. prescribed by or under law made by Parliament B. determined by State legislatures C. exhaustively listed in the Constitution D. limited to Union expenditure

Answer: A.

[FACT] Article 149 is the constitutional gateway to parliamentary prescription.

OM7. Article 151 State route

A CAG report relating to State accounts is submitted to the

A. State PAC for initial approval B. Governor for laying before the State legislature C. Chief Minister for direct publication D. President for laying before Parliament

Answer: B.

[FACT] Article 151(2) establishes the Governor-to-State-legislature route.

OM8. Direct enforcement

Which is NOT a power that follows merely from issuing a CAG report?

A. supporting PAC/CoPU examination B. directly punishing an executive official C. informing legislative scrutiny D. recommending system correction

Answer: B.

[LIMIT] Penalty, recovery and prosecution require action by legally competent authorities.

OM9. Audit timing

The description “Comptroller in name only” principally refers to the fact that India's CAG

A. predominantly audits after expenditure rather than pre-authorising each issue of funds B. lacks access to government records C. reports only to the executive D. cannot audit receipts

Answer: A.

[FACT] *S. Subramaniam Balaji* confirms post-expenditure examination; the phrase concerns ex-ante issue control.

OM10. Accounts function

Which statement is most accurate?

A. CAG compiles/prepares accounts where responsibility remains under Sections 10-12 and valid orders B. Finance Commission compiles government accounts C. CAG universally compiles every Union and State account D. CAG has no accounts-related function after 1976

Answer: A.

[FACT] Departmentalisation changed Union responsibilities, but the DPC Act preserves accounts functions where not relieved.

OM11. Section 13

Section 13 requires the CAG, among other things, to test whether expenditure from a Consolidated Fund

A. generated a political consensus B. was approved by the PAC before payment C. achieved every policy objective D. was legally available, applicable to the purpose and conformed to authority

Answer: D.

[FACT] This is the statutory appropriation/compliance core.

OM12. Fund transactions

Under Section 13, which pair is also audited?

A. municipal social audits and cooperative elections B. only Consolidated Fund withdrawals C. only State contingency grants and private deposits D. transactions relating to Contingency Funds and Public Accounts

Answer: D.

[FACT] Section 13 expressly includes these transactions.

OM13. Section 14(1)

For the statutory deemed substantial-finance test in Section 14(1), the grant or loan must be at least

A. Rs 10 lakh and at least 50 per cent of revenue B. any amount approved by the PAC C. Rs 25 lakh and at least 75 per cent of total expenditure D. Rs 1 crore with no proportion test in every case

Answer: C.

[FACT] These are the stated Section 14(1) thresholds; Section 14(2) is a separate route.

OM14. Section 15

Section 15 primarily scrutinises

A. every transaction of an unfinanced private company B. procedures by which a sanctioning authority assures compliance with specific-purpose grant/loan conditions C. the constitutional validity of taxation D. election expenditure of political parties

Answer: B.

[FACT] Section 15 centres the grant/loan assurance process.

OM15. Receipts audit

Section 16 requires audit of

A. only GST Council recommendations B. political donations C. receipts of private associations unrelated to government D. receipts payable into Consolidated Funds and the systems for assessment, collection and allocation

Answer: D.

[FACT] The receipt must connect to the Consolidated Fund mandate.

OM16. Access power

Section 18 does NOT create

A. power to seek information from responsible officers B. free-standing universal jurisdiction over every record in India C. authority to inspect relevant offices D. power to call for relevant documents

Answer: B.

[LIMIT] Access follows an existing audit duty.

OM17. Audit types

Which audit asks whether financial information is presented according to the applicable reporting framework?

A. financial audit B. performance audit C. propriety audit D. receipts audit

Answer: A.

[FACT] Financial audit provides assurance on financial statements/information.

OM18. Compliance audit

Compliance audit primarily compares activities and transactions with

A. applicable law, rules, sanctions, contracts and governing authority B. only accounting estimates C. popular opinion D. the auditor's preferred policy

Answer: A.

[FACT] Compliance criteria are authoritative requirements.

OM19. Performance audit

The three E's are

A. evidence, enforcement and expenditure B. economy, equity and ethics C. equality, entitlement and enforcement D. economy, efficiency and effectiveness

Answer: D.

[FACT] Official CAG performance-audit guidance uses economy, efficiency and effectiveness.

OM20. Propriety boundary

Which is the safest formulation?

A. propriety tests prudence and economy but should not become an unlimited policy veto B. propriety and legality are identical C. propriety audit is prohibited by the DPC Act D. propriety audit lets CAG choose policy for the government

Answer: A.

[FACT] Official commentary tests wisdom, faithfulness and economy; [LIMIT] elected policy space remains.

OM21. Government-company auditor

Under the Companies Act, 2013 framework, the statutory auditor of a government company is appointed by

A. the CAG under the applicable Section 139 route B. the Finance Ministry without CAG involvement C. CoPU D. PAC

Answer: A.

[FACT] Sections 139(5)/(7) govern the CAG appointment role.

OM22. Supplementary audit

The CAG's supplementary audit of a government company's financial statements is associated with

A. Section 15 of the DPC Act alone B. Article 280 C. Article 324 D. Section 143(6) of the Companies Act, 2013

Answer: D.

[FACT] Section 143(6) provides the supplementary audit/comment route.

OM23. Statutory corporation

Audit of a corporation established by parliamentary law is principally controlled by

A. a PAC resolution creating jurisdiction B. private agreement alone C. its governing legislation read with DPC Act Section 19(2) D. a universal identical model for all corporations

Answer: C.

[FACT] Section 19(2) defers to the respective legislation.

OM24. Entrusted audit

Section 20 audit requires, among other safeguards,

A. only a newspaper allegation B. no consultation with CAG C. lawful request/empowerment, public interest, consultation and opportunity to represent D. automatic application to all NGOs

Answer: C.

[FACT] Section 20 contains these procedural and public-interest controls.

OM25. Telecom judgment

The 2014 telecom audit case supports the proposition that CAG may

A. impose licence penalties directly B. audit records needed to verify the government's revenue share under the public-resource/licence arrangement C. replace TRAI as sector regulator D. audit every private company for every purpose

Answer: B.

[FACT] The holding was tied to licence fee/spectrum charge revenue computation.

OM26. Arvind Gupta

Arvind Gupta v. Union of India is significant because it

A. upheld CAG examination of economy, efficiency and effectiveness B. made every CAG recommendation binding C. created a collegium for CAG appointment D. abolished performance audit

Answer: A.

[FACT] The Supreme Court rejected the constitutional challenge to performance audit.

OM27. Arun Kumar Agrawal

The controlled proposition from *Arun Kumar Agrawal* is that

A. courts may never read a CAG report B. a CAG report commands respect but is subject to parliamentary scrutiny and is not automatically final proof C. a CAG report has no public value D. PAC must accept every audit paragraph

Answer: B.

[FACT] The case emphasises report scrutiny and ministry/PAC response.

OM28. PAC relation

The CAG is best described in relation to PAC as

A. a ministerial representative B. the voting chairperson C. technical friend, philosopher and guide, not a committee member D. the final parliamentary decision-maker

Answer: C.

[FACT] Official parliamentary usage supports the phrase; [LIMIT] the committee makes its own conclusions.

OM29. CoPU

CoPU principally specialises in

A. judicial appointments B. State Finance Commission reports C. public undertakings and relevant CAG reports/accounts D. election finance

Answer: C.

[FACT] CoPU is the public-enterprise financial committee.

OM30. CAG report sequence

Which sequence is constitutionally and institutionally sound for a Union report?

A. CAG -> PAC -> President -> Supreme Court B. CAG -> Prime Minister -> company auditor -> Parliament C. CAG -> Finance Commission -> Governor -> Lok Sabha D. CAG -> President -> Parliament -> committee scrutiny -> executive action taken

Answer: D.

[FACT] Article 151 supplies the President-to-Parliament route; committees and action taken follow.

OM31. Local bodies

Which statement is correct?

A. social audit is identical to CAG audit B. Articles 243J/243Z abolish State audit law C. CAG is automatically the sole primary auditor of every local body D. State law controls local-body accounts/audit, while CAG may provide TGS or audit under applicable arrangements

Answer: D.

[FACT] Local audit architecture is State-law dependent.

OM32. Finance Commission link

The Union Finance Commission's local-body function under Article 280(3)(bb)/(c) relates to

A. replacing State Finance Commissions B. measures augmenting State Consolidated Funds for Panchayat/Municipality resources on the SFC basis C. appointing local auditors D. directly levying municipal tax

Answer: B.

[FACT] This is the constitutional fiscal link.

OM33. Charged expenses

The constitutional charging of CAG office administrative expenses primarily protects

A. every audit recommendation from rejection B. every State local-fund auditor C. the office from ordinary annual voting leverage over those expenses D. the CAG from all legislative scrutiny

Answer: C.

[FACT] Article 148(6) is a financial-independence safeguard, not immunity from accountability.

OM34. Digital audit

CDMA is

A. a private statutory auditor association B. a parliamentary committee C. a Finance Commission grant portal D. IAAD's nodal centre for data analytics, established in June 2016

Answer: D.

[CURRENT] The official CAG page records its establishment and nodal role.

OM35. Remote auditing

The safest use of the 17 September 2025 official CAG announcement is that

A. Article 151 was amended B. CAG announced a strategic shift towards remote auditing, without proving every audit is remote C. all reports are now generated by artificial intelligence D. field audit has legally ceased

Answer: B.

[CURRENT] The announcement signals institutional direction; [LIMIT] it does not justify universalisation.

OM36. Reform principle

Which reform best preserves separation of functions?

A. make CAG the prosecutor and final court for audit objections B. transfer PAC's conclusions to CAG C. allow CAG to stop any policy it dislikes D. strengthen transparent appointment, data access, timely tabling and reasoned follow-up without automatic binding force

Answer: D.

[ANALYSIS] Stronger audit and stronger legislative consequence need not convert the auditor into executive or judge.

Remedial MCQs - 12 questions

RM1. Article-statute trap

Which fact comes from the DPC Act rather than the numerical text of Article 148?

A. six years or age 65, whichever is earlier B. no further government office C. appointment by presidential warrant D. removal like a Supreme Court Judge

Answer: A.

[FACT] Section 4 supplies the term/age rule.

RM2. Report-route trap

Who causes a Union CAG report to be laid before each House of Parliament?

A. the President B. the CAG directly C. PAC Chairperson D. the Speaker alone

Answer: A.

[FACT] Article 151(1) uses the President route.

RM3. Section 14 trap

Which statement is correct?

A. any grant amount creates permanent CAG jurisdiction B. Section 14 uses statutory finance tests and applicable-law qualifications C. Section 14 concerns only tax receipts D. Section 14 automatically covers every PPP

Answer: B.

[FACT] Jurisdiction depends on the statutory gateway.

RM4. Section 18 trap

Section 18 access is best understood as

A. a general search power unrelated to audit B. evidence access connected to duties under the Act C. a power only over Parliament D. authority to seize any private device

Answer: B.

[LIMIT] Access is strong but mandate-linked.

RM5. Audit-type trap

A lawful purchase made at an avoidably extravagant price most directly raises

A. a presidential-election dispute B. only a form-of-accounts question C. a propriety concern D. no audit concern

Answer: C.

[FACT] Propriety goes beyond formal legality to wisdom and economy.

RM6. Performance boundary

Performance audit primarily examines

A. constitutional amendment procedure B. whether the auditor prefers a different ideology C. economy, efficiency, effectiveness and implementation/results D. criminal guilt beyond reasonable doubt

Answer: C.

[FACT] Official standards focus on three E's and results.

RM7. Government-company trap

Which is correct?

A. CAG appoints the statutory auditor and may direct/supplement/test under Companies Act provisions B. government companies are outside public audit C. CAG itself must conduct the company's entire primary statutory audit in every case D. PAC appoints the company auditor

Answer: A.

[FACT] The Companies Act creates a layered model.

RM8. Case-law trap

The telecom case should NOT be cited for

A. verification of licence-fee revenue share B. audit access tied to Consolidated-Fund receipts C. universal CAG jurisdiction over all private business D. public-resource revenue accountability

Answer: C.

[LIMIT] The public-revenue nexus controls the holding.

RM9. Committee trap

Which statement is correct?

A. PAC cannot hear a ministry response B. CAG votes in PAC C. CoPU examines only private companies D. CAG findings and PAC conclusions are institutionally distinct stages

Answer: D.

[FACT] Legislative committees independently evaluate audit and executive evidence.

RM10. Local-body trap

Technical Guidance and Support means

A. direct CAG control over local elections B. automatic abolition of State local-fund auditors C. standards, training, test checks and quality support under applicable arrangements D. the same thing as a Gram Sabha social audit

Answer: C.

[FACT] Official TGS material lists these support functions.

RM11. Digital-audit trap

Data analytics should be used with

A. data-quality checks, human judgement, corroboration and auditee response B. no documented criteria C. automatic presumption of guilt from an anomaly D. removal of field evidence in every case

Answer: A.

[ANALYSIS] Analytics identifies risk; it does not by itself prove an audit conclusion.

RM12. Institutional-design trap

Which statement best summarises the CAG?

A. a private financial consultant B. a court whose reports are decrees C. an alternate executive controlling policy D. an independent constitutional auditor whose influence depends on legislative follow-up

Answer: D.

[ANALYSIS] This formulation captures both independence and the enforcement limit.

PYQS AND ANSWER PRACTICE

Audited PYQ routing note

- [FACT] The audited CAG owners contain two direct Mains demands: 2018 GS-II Q5 and 2024 GS-II Q4.
- [FACT] The 2018 ledger records the demand, directive, marks and word limit but flags OCR corruption in the printed tail. The exact question is therefore not reconstructed; a neutral rendering is used.
- [FACT] The 2024 English wording below is reproduced from the locally held official-paper OCR.
- [FACT] Three Parliament-owner questions are included as verified adjacent applications because they directly test committees, financial committees and executive accountability through the CAG-PAC chain.
- [LIMIT] No direct CAG Prelims question with a safely usable key was found in the audited 2018-2026 routing ledgers. None is invented.

Visual 46 - PYQ ownership and adjacency

Year	Paper/Q	Demand	Status in this package
2018	GS-II Q5	appointment, terms and range of powers of CAG	direct owner; neutral rendering
2024	GS-II Q4	legality and propriety of expenditure	direct owner; exact local official-paper wording
2018	GS-II Q4	usefulness of parliamentary committees, especially Estimates Committee	adjacent; financial-committee distinction
2021	GS-II Q4	Parliament's ability to ensure executive accountability	adjacent; PAC/CAG route
2023	GS-II Q16	committee structure and role of financial committees	adjacent; PAC/CoPU architecture

Verified PYQ 1 - UPSC GS-II 2018, Q5 - 10 marks, 150 words

> **Neutral audited rendering:** Explain the method of appointment, terms of office and range of powers of the Comptroller and Auditor General of India.

Demand decoding

- **Explain** requires an orderly institutional account, not a reform essay.
- The three limbs - appointment, terms and powers - require visible separation.
- At 150 words, Articles 148-151 and the DPC Act should be named without listing every section.

Evidence-led model solution

The CAG is a constitutionally insulated auditor whose office is created by Article 148 and whose operational mandate is prescribed by Parliament.

Appointment: [FACT] The President appoints the CAG by warrant under hand and seal. The Constitution prescribes no collegium. The CAG takes the Third Schedule oath before the President or a nominee.

Terms: [FACT] Removal is in the same manner and on the same grounds as a Supreme Court Judge; service conditions cannot be varied to disadvantage, office expenses are charged and no further Union/State government office is permitted. [FACT] Section 4 of the DPC Act fixes six years or age 65, whichever is earlier, with resignation addressed to the President.

Powers: [FACT] Article 149 read with Sections 13-20 authorises audit of expenditure, fund transactions, receipts, stores, substantially financed bodies, grants, government companies/corporations and entrusted audits. Article 150 concerns account form; Article 151 routes reports to legislatures.

[LIMIT] The CAG audits predominantly ex post and cannot punish or recover directly.

Why this earns marks: It answers all three limbs, separates constitutional and statutory rules, names the main powers and ends with the decisive limit.

Verified PYQ 2 - UPSC GS-II 2024, Q4 - 10 marks, 150 words

> “The duty of the Comptroller and Auditor General is not merely to ensure the legality of expenditure but also its propriety.” Comment.

Demand decoding

- **Comment** requires a defended position with a boundary.
- The answer must distinguish legality, propriety and performance.
- The qualification is policy choice versus implementation/financial prudence.

Evidence-led model solution

The statement correctly captures the CAG's public-value role, provided propriety audit does not become an auditor's veto over lawful policy.

Legality is the floor: [FACT] Section 13 of the DPC Act requires the CAG to test whether money was legally available, applied to the authorised purpose and spent in conformity with governing authority. This protects legislative appropriation.

Propriety is the reach: [FACT] Official CAG commentary looks beyond form to the wisdom, faithfulness and economy of expenditure, exposing waste, extravagance and improper discretion. *S. Subramaniam Balaji* recognised post-expenditure examination of legality, validity and propriety.

Performance adds outcomes: [FACT] *Arvind Gupta* upheld examination of economy, efficiency and effectiveness. Thus, a transaction can be lawful yet wasteful or a compliant scheme can fail its objectives.

[LIMIT] Official performance guidance does not authorise questioning legislative intentions as such. Audit should test implementation, process, prudence and results, not substitute its preferred policy.

Therefore, legality protects authority; propriety and performance protect value for public money.

Why this earns marks: It comments rather than merely defines, uses the Act and two cases, and draws the essential policy boundary.

Verified Adjacent PYQ 3 - UPSC GS-II 2018, Q4 - 10 marks, 150 words

> **Neutral audited rendering:** Discuss the usefulness of parliamentary committees, with particular reference to the Estimates Committee.

Evidence-led model solution

Parliamentary committees make legislative scrutiny continuous, specialised and less partisan than the floor.

[FACT] The Estimates Committee has 30 Lok Sabha members and examines budget estimates to suggest economies, organisational improvement and alternative policy execution. It is forward-looking, unlike the Public Accounts Committee's post-expenditure scrutiny of appropriation, finance accounts and CAG reports.

[FACT] PAC has 22 members (15 Lok Sabha and 7 Rajya Sabha) and is conventionally chaired by the Opposition. CoPU has the same House composition and examines public undertakings and related CAG reports. Ministers are barred from the financial committees.

[ANALYSIS] Committees overcome time and expertise constraints, call officials, compare records and convert technical audit into accountable parliamentary findings. The Estimates Committee can identify prospective economy; PAC closes the loop after expenditure.

[LIMIT] Recommendations are advisory, committee agendas are selective and strong majority discipline may weaken follow-up.

Thus, committees are Parliament's working scrutiny machinery; their usefulness depends on evidence, timely reports and executive action.

Why this earns marks: It centres the Estimates Committee while using PAC/CAG and CoPU only for sharp institutional comparison.

Verified Adjacent PYQ 4 - UPSC GS-II 2021, Q4 - 10 marks, 150 words

> **Neutral audited rendering:** To what extent is Parliament able to ensure the accountability of the executive in India?

Evidence-led model solution

Parliament possesses strong accountability instruments, but their effectiveness is uneven.

[FACT] Questions, motions, debates, budget voting and committee scrutiny compel explanation. Financial accountability is especially structured: Articles 112-114 authorise expenditure, the CAG audits under Articles 149-151 and the DPC Act, and PAC/CoPU examine relevant reports and ministry evidence.

[ANALYSIS] This chain turns executive records into independent audit, audit into legislative findings and findings into action-taken commitments. Department-related committees add sectoral scrutiny.

However, [ANALYSIS] anti-defection discipline, government control of House time, the guillotine, limited sittings, selective committee examination and delayed action-taken replies reduce the practical bite. [LIMIT] A CAG report itself is not Parliament's final conclusion; *Arun Kumar Agrawal* confirms the role of parliamentary scrutiny and ministry response.

Therefore, Parliament is institutionally capable but politically and procedurally constrained: accountability is strong in instruments, variable in use.

Why this earns marks: It directly answers “to what extent”, names the audit chain and balances formal power with operational limits.

Verified Adjacent PYQ 5 - UPSC GS-II 2023, Q16 - 15 marks, 250 words

> **Neutral audited rendering:** Explain the structure of the parliamentary committee system and the role of financial committees.

Evidence-led model solution

Parliament's committee system combines continuing oversight with task-specific inquiry and allows detailed work that the House floor cannot sustain.

Structure: Standing committees are continuing categories, generally reconstituted periodically. They include the three financial committees, Department-related Standing Committees and House/oversight committees such as Privileges, Ethics, Subordinate Legislation and Government Assurances. Ad hoc committees include Select/Joint Committees on Bills and Joint Parliamentary Committees for specified tasks.

Financial committees: [FACT] PAC has 22 members (15 Lok Sabha and 7 Rajya Sabha), an Opposition chair by convention and examines appropriation/finance accounts and CAG reports after expenditure. [FACT] The Estimates Committee has 30 Lok Sabha members only and seeks economy, efficiency and administrative improvement in estimates. [FACT] CoPU has 22 members (15+7) and examines public undertakings, their reports/accounts and relevant CAG reports. Ministers cannot sit on these committees.

Role: [ANALYSIS] The trio spans the financial cycle: Estimates is prospective, CAG-PAC is post-expenditure accountability, and CoPU specialises in commercial public enterprise. Committees call records and officials, separate CAG findings from ministry explanations and issue parliamentary conclusions.

Limits: Recommendations are advisory; scrutiny is selective; delays in reports, hearings and action taken weaken consequence. CAG assists but neither belongs to nor decides for PAC/CoPU.

Thus, financial committees operationalise Parliament's power of the purse, but their impact depends on timely evidence and follow-up.

Why this earns marks: It explains both structural categories and the distinctive role of each financial committee, with exact composition and a qualified verdict.

Original solved Mains practice - 8 questions

Original Solved Mains 1 - 10 marks, 150 words

Question: Explain how Article 148 protects the independence of the Comptroller and Auditor General of India. Are these safeguards sufficient?

Model solution

Article 148 gives the CAG unusually strong security after appointment.

Tenure and removal: [FACT] Removal is in the same manner and on the same grounds as a Supreme Court Judge, not at executive pleasure. This protects adverse audit from retaliatory dismissal.

Financial/service protection: [FACT] Salary and specified service rights cannot be varied to disadvantage after appointment. The office's administrative expenses are charged on the Consolidated Fund of India.

Institutional autonomy: [FACT] The CAG heads the Indian Audit and Accounts Department; presidential staff rules follow consultation. [FACT] The post-tenure bar on further Union/State government office reduces a future-office incentive.

Yet safeguards are not complete. [ANALYSIS] The Constitution does not prescribe a plural selection body or transparent criteria. Effective independence also requires specialist staff, complete digital records, timely tabling and credible committee follow-up.

Therefore, Article 148 strongly protects tenure and office, but perceived independence begins at appointment and practical influence ends in the legislature.

Why this earns marks: It explains each Article 148 safeguard, links design to purpose and evaluates sufficiency without confusing operational weakness with legal dependence.

Original Solved Mains 2 - 10 marks, 150 words

Question: “India's CAG is a Comptroller only in name.” Explain with suitable constitutional and judicial support.

Model solution

The description contrasts ex-ante control of fund issue with India's predominantly ex-post audit model.

[FACT] Article 149 read with the DPC Act authorises audit of expenditure, transactions and receipts; Article 151 sends reports to legislatures. It does not ordinarily require the CAG's prior approval before each government payment.

[FACT] In *S. Subramaniam Balaji v. State of Tamil Nadu*, the Supreme Court stated that the CAG examines legality, validity and propriety after expenditure has been incurred. Union account departmentalisation from 1976 further separated account compilation from independent audit.

[ANALYSIS] The CAG therefore cannot routinely prevent an irregular payment at source. Its power is disclosure: testing authority, propriety and performance, followed by PAC/CoPU scrutiny and executive correction.

[LIMIT] “In name only” should not imply insignificance. Audit findings can expose systemic failure, support legislative accountability and lead competent authorities to recovery, discipline or reform.

Thus, the Indian CAG is mainly an Auditor-General; the legislature supplies the consequential control.

Why this earns marks: It defines the phrase, uses Article 149/151 and a named case, and qualifies the rhetorical expression.

Original Solved Mains 3 - 10 marks, 150 words

Question: Distinguish the CAG's audit function from its accounts-related responsibilities after departmentalisation of Union accounts.

Model solution

Accounts preparation and independent audit serve different institutional purposes.

Accounts: [FACT] Sections 10-12 of the DPC Act concern compiling, keeping and preparing accounts and assisting governments where responsibility remains. Section 10 permits lawful relieving orders after consultation. Union accounts were departmentalised in 1976, so ministries/departments assumed much of Union compilation.

Audit: [FACT] Sections 13-20 independently authorise examination of expenditure, fund transactions, receipts, stores, financed bodies, companies/corporations and entrusted entities. Article 151 then routes reports to legislatures.

[ANALYSIS] Accounts create the financial record; audit tests that record and the underlying transactions against authority, accuracy, propriety and performance. Separating preparation from assurance strengthens objectivity.

[LIMIT] Two absolutes are wrong: CAG neither compiles all Union/State accounts nor lacks every accounts function. State and other responsibilities continue where not validly relieved.

The post-1976 design therefore narrows Union accounting responsibility while preserving constitutional audit.

Why this earns marks: It uses statutory sections, explains the institutional logic and states the variable-responsibility qualification.

Original Solved Mains 4 - 15 marks, 250 words

Question: Analyse the legal basis and democratic value of financial, compliance, propriety and performance audits conducted by the CAG.

Model solution

Public audit is layered: each type answers a different question about the same public transaction or programme.

Legal architecture: [FACT] Article 149 makes parliamentary law the operational source. Section 13 requires audit of Consolidated-Fund expenditure, fund transactions and departmental commercial accounts; Sections 16-18 cover receipts, stores/stock and access; Section 23 authorises regulations on scope and extent.

Financial audit provides assurance whether financial information is fairly presented under the applicable reporting framework. It protects reliability but does not itself prove programme success.

Compliance audit tests law, appropriation, sanction, rules, contracts and authority. Section 13's "legally available and applicable" requirement protects the legislature's power of the purse.

Propriety audit [FACT] looks beyond formal legality to wisdom, faithfulness and economy. It can expose lawful-looking extravagance, waste and improper discretion. [LIMIT] It should test implementation and prudence, not replace a lawful policy choice.

Performance audit examines economy, efficiency and effectiveness. [FACT] *Arvind Gupta v. Union of India* upheld this function as in-built in the 1971 Act; official guidance focuses on implementation and results rather than questioning legislative intentions as such.

Democratic value: [ANALYSIS] Financial audit makes records credible; compliance protects authority; propriety protects prudence; performance protects outcomes. Article 151 then converts technical findings into legislative information.

[LIMIT] Audit recommendations are not self-executing. PAC/CoPU scrutiny, ministry evidence and action taken determine correction.

Thus, the four lenses are complementary: legality is the floor, reliable accounts the evidence base, propriety the public-finance conscience and performance the outcome test.

Why this earns marks: It supplies legal anchors, distinguishes the four types, explains value and preserves policy and enforcement boundaries.

Original Solved Mains 5 - 15 marks, 250 words

Question: To what extent can the CAG audit private entities and public-private partnerships? Discuss with reference to the public-finance nexus.

Model solution

CAG jurisdiction follows public money, public revenue or lawful entrustment; it does not arise from private status alone.

Statutory routes: [FACT] Section 14 covers receipts and expenditure of bodies/authorities meeting the substantial-finance tests, subject to applicable law. Section 15 scrutinises how government assures compliance with specific-purpose grant/loan conditions. Section 16 audits receipts payable into Consolidated Funds. Section 20 permits entrusted audit in public interest after consultation, agreed terms and opportunity to represent.

Company/public-resource routes: Government companies fall under Section 19 read with Companies Act Sections 139 and 143. In *Association of Unified Telecom Service Providers of India v. Union of India* (2014), the Supreme Court upheld access to private telecom records required to verify licence fee and spectrum charges payable to the Union under revenue-sharing licences. The audit followed a scarce public resource and the government's Consolidated-Fund revenue.

PPP implication: [ANALYSIS] A PPP contract should identify public grants, viability support, user-fee/revenue sharing, guarantees, asset reversion, performance criteria, data access and audit rights. This enables audit of the public side without converting CAG into the ordinary auditor of the partner's entire unrelated business.

Limits: [LIMIT] Regulation, public importance or controversy alone is insufficient. Trade secrecy, privacy and cyber-security require controlled access, but cannot defeat a valid audit mandate. The precise entity, fund, revenue and legal gateway must be stated.

Therefore, CAG reach over private actors is functionally broad but legally bounded: follow the public resource or rupee, and stop at the justified scope.

Why this earns marks: It rejects both universal exclusion and universal jurisdiction, names four statutory gateways and uses the telecom case narrowly.

Original Solved Mains 6 - 15 marks, 250 words

Question: Explain the differentiated audit architecture for government departments, government companies and statutory corporations.

Model solution

Public ownership does not produce one uniform audit method; legal form determines the route.

Departments: [FACT] DPC Act Section 13 directly audits expenditure from Consolidated Funds and related fund transactions; Section 16 audits receipts and Section 17 stores/stock. Section 18 supplies record access. Findings follow Article 151.

Government companies: [FACT] Section 19 operates with the Companies Act, 2013. Under Section 139(5)/(7), the CAG appoints the statutory auditor. Under Section 143(5), the CAG may issue directions; Section 143(6) enables supplementary audit and comments/supplement; Section 143(7) permits test audit. [ANALYSIS] This layered design retains company-law financial statements while adding public-shareholding oversight.

Statutory corporations: [FACT] Section 19(2) makes the CAG's role depend on the corporation's establishing parliamentary legislation. State corporations may enter the Section 19(3) public-interest request route. Some statutes may provide sole CAG audit; others may combine primary auditors with CAG oversight.

Legislative specialisation: [FACT] PAC generally examines wider Union audit reports; CoPU specialises in specified public undertakings and related CAG reports. [LIMIT] CAG findings remain distinct from committee conclusions.

The differentiated model respects corporate form and governing statutes while preserving public accountability. Its weakness is complexity: legislators and examinees must identify the correct legal route rather than rely on the label “PSU”.

Why this earns marks: It structures by entity, names exact legal mechanisms and connects audit form to parliamentary scrutiny.

Original Solved Mains 7 - 20 marks, 250 words

Question: Evaluate the CAG-PAC-CoPU accountability chain. Why do authoritative audit findings not always produce timely executive correction?

Model solution

The CAG-PAC-CoPU chain converts financial records into legislative accountability, but it is sequential and vulnerable to delay at every stage.

Audit stage: [FACT] Articles 149 and 151, read with the DPC Act, enable independent examination and require reports to move through the President/Governor to the legislature. Section 18 access and professional standards strengthen evidence quality.

Legislative stage: [FACT] PAC examines appropriation/finance accounts and relevant CAG reports; CoPU examines public undertakings and related reports. CAG acts as technical friend, philosopher and guide. Committees call ministries/entities, test replies and issue their own findings.

Executive stage: Ministries submit action-taken responses, recover or regularise where legally justified, initiate discipline through competent authorities and reform systems.

Why impact decays:

1. [ANALYSIS] Reports may be laid late or contain many paragraphs competing for committee time.
2. Committee selection is necessarily selective and members face expertise and research constraints.
3. Ministry replies may be delayed, defensive or limited to case-specific compliance.
4. Action-taken monitoring can focus on closure rather than systemic prevention.
5. Coalition/majority incentives affect political salience.
6. Complex digital, PPP and multi-agency transactions diffuse responsibility.

[FACT] *Arun Kumar Agrawal* correctly treats the CAG report as respected but subject to parliamentary scrutiny; audit is not a self-executing decree.

Reform: public timelines, recommendation-wise action dashboards, dedicated committee research, thematic clustering, repeat-audit follow-up and transparent reasons for non-acceptance.

[LIMIT] Automatic binding force would collapse audit into executive/adjudicatory command.

Therefore, the chain's legitimacy lies in institutional separation; its effectiveness requires faster, evidence-rich connections between those institutions.

Why this earns marks: It evaluates each stage, explains six causal bottlenecks, uses case law and proposes reforms consistent with separation of powers.

Original Solved Mains 8 - 20 marks, 250 words

Question: Suggest a reform agenda for strengthening the CAG in an era of digital government, off-budget structures, public-private delivery and decentralisation.

Model solution

Reform should strengthen mandate clarity, evidence access and legislative consequence without turning the CAG into an alternate executive.

Credible appointment: [ANALYSIS] Publish eligibility, conflict and consultation criteria and create a plural recommendation process by law or convention compatible with the President's Article 148 appointment.

Digital evidence: [CURRENT] The 2020 audit regulations recognise IT environments; CDMA has supported analytics since 2016; the 17 September 2025 official announcement signals remote-audit expansion. Government systems should provide secure APIs, immutable logs, data dictionaries and retention standards. Models must be documented, tested for false positives and corroborated by human/field evidence.

New delivery structures: PPPs, special-purpose vehicles, guarantees and revenue-share contracts should contain audit clauses identifying public grants, risk, assets, performance data and termination/reversion rights. [LIMIT] This clarifies a public-finance nexus; it does not create universal private audit.

Off-budget transparency: Legislatures should require comprehensive disclosure of guarantees, special vehicles, deferred liabilities and extra-budgetary borrowing so that audit can follow substance, not only legal form.

Local bodies: Strengthen State-law audit institutions, interoperable accounts and CAG Technical Guidance and Support. Articles 243J/243Z mean primary arrangements remain State-specific.

Legislative consequence: fixed timelines for laying, committee evidence and action-taken replies; dedicated PAC/CoPU research; public recommendation-wise reasons; repeat audits of systemic controls.

Capacity: recruit and train data, engineering, environment, procurement and sector specialists while preserving core audit judgement.

[LIMIT] CAG should expose illegality, imprudence and failure; penalties and policy choices remain with competent institutions.

The reform goal is “auditable government by design”: transparent selection, traceable public money, reproducible evidence and visible legislative follow-up.

Why this earns marks: It addresses all four transformations, uses dated official digital evidence, respects federal/private boundaries and offers an integrated institutional agenda.